

1. Volatility

The first difference is in the impact of volatility. Volatility is noise. The short-term trader bets on the noise; the long-term investor listens to the signal. But the long-term investor who thinks that the main trend will even out volatility over time is in for a shock. Volatility is the central concern of all investors, but it matters more in the long run than in the short run.

The long run is in the eye of the beholder. The way you feel about the long run and the way you define it are ultimately gut issues.

Volatility matters, because it defines the uncertainty of the price at which an asset will be liquidated. The Ibbotson Associates data tell us that the expected total return on the S&P 500 for a one-year holding period is about 12.5 percent, but you should not be surprised if you come out somewhere between -8 percent and +32 percent, a spread of 400 basis points. The range for individual stocks is much wider. So volatility appears to matter a lot if you are going to hold for only a year.

Stretch your holding period out from one year to ten years, and the range of the expected return narrows to between about +5 percent to +15 percent a year, a spread of only 100 basis points and implying very little chance of loss over the ten-year period. Although volatility now seems much less troublesome than it did in the one-year horizon, and although the odds on losing money when you liquidate are now greatly reduced, do not be lulled by that relatively narrow range of annual rates of return. What matters is not the annual rate of return but the final liquidating value at the end of ten years. A dollar invested for ten years at 5 percent